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Energy buyers ordered to divest
By Amy Chance
Bee Political Editor
(Published July 19, 2001)

The Davis administration on Wednesday told consultants buying electricity for the state to sell their stock holdings in energy companies immediately or leave their jobs.

Nine consultants divested by a noon deadline, but critics said Gov. Gray Davis acted months too late to protect the public's interest.

The order, issued at Davis' direction, was contained in a memo to Tom Hannigan, director of the state Department of Water Resources. Legal Affairs Secretary Barry Goode wrote that it was "imperative that you give this instruction immediately" to those concerned.

"We expect, and have always expected, the state's consultants to uphold the highest ethical standards," the memo states. "That standard is not met by those who hold a financial interest in one or more energy companies while trading on behalf of the state on energy related matters."

Under pressure from Secretary of State Bill Jones, a Republican who hopes to challenge Democrat Davis for re-election next year, the administration moved last week to obtain statements of economic interest from the energy consultants. The consultants were brought on earlier this year to help the Department of Water Resources buy electricity on behalf of California's financially strapped utilities.

The economic statements revealed that several consultants held stock in energy generators, including Calpine Corp. and Enron. One consultant reported that he sold stock holdings in Edison International and Dynegy when he began work for the state.

Administration officials initially said they would review the reports for any conflicts, considering whether the consultants traded with companies in which they held stock.

But Goode's memo, dated Wednesday, said each of the consultants should divest by noon that day or "the state will sever its contract with that person." The notice was given to the 34 people who had disclosed their interests as required, nine of whom reported a current financial interest in an energy company, according to the administration. A governor's spokesman said all of them divested by the deadline.

State Attorney General Bill Lockyer, whom Jones had asked to investigate, told Jones in a letter Tuesday that most of Jones' allegations, including whether the statements of economic interest were filed on time, should be dealt with first by the state Fair Political Practices Commission.

He noted that one section of applicable state law sets a high threshold for conflict of interest: It provides that someone holding less than 3 percent of the shares of a corporation does not have a conflict unless his or her total yearly income from dividends or other payments exceeds 5 percent of his or her annual income.

But he said he would review the statements to see whether a conflict-of-interest investigation is warranted "in light of the legitimate and important public interest in the employment of public servants who are free of conflicting interests. ... "

Lockyer spokesman Nathan Barankin pointed out that Jones had called into question the validity of state electricity contracts negotiated by the buyers.

"What we're saying is that there's a public interest in getting to the bottom of it as quickly as possible, so there's some certainty," he said.

Jones said simply selling the stock doesn't solve the problem.

"Just divesting themselves of the stock, or even letting them go, doesn't change the conflict that's been inherent for the last five months," Jones said. "If someone who has a proven conflict of interest has negotiated contracts on behalf of the state, there is no contract."

Jones also noted that the Davis administration says an additional 20 or more people it has brought on board to cope with the energy crisis have not been required to file disclosure statements. He said Lockyer should investigate whether the administration has abided by disclosure law in those cases.

"(Davis') record is not very good when you look at the fact that I had to make the case to even get these statements of conflict of interest filed," Jones said. "It's up to the attorney general to be the judge, but the public has to have the information."

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Another contempt action
By Kevin Yamamura
Bee Capitol Bureau
(Published July 19, 2001)

A state Senate committee held another energy generator in contempt Wednesday and may recommend today that Enron Corp. either pay fines or be removed from California's marketplace if it continues to withhold documents.

Meanwhile, lawmakers in both houses spent Wednesday night debating three plans to prevent Southern California Edison from going into bankruptcy, though no one idea had broad support.

The committee's action against Reliant Energy marked the third contempt finding in as many weeks by the special Senate committee investigating energy market manipulation. After reaching a legal disagreement over whether trade secrets would be protected, lawmakers voted 6-0 to push Reliant, a Houston-based generator, into contempt proceedings.

The panel found five other generators in compliance with subpoenas after they signed confidentiality agreements earlier this week and promised to ship thousands of files to depositories.

Three weeks ago, the committee found Enron and another generator, Mirant, in contempt. Mirant has since cooperated and escaped the committee's finding, but Enron filed a lawsuit in Sacramento Superior Court seeking judicial intervention.

Despite ongoing discussions between the committee and Enron representatives, they have reached no deal to end the lawsuit or the contempt finding.

Lawmakers therefore intend to issue a report today leading to a later Senate vote on contempt and subsequent penalties.

The committee was considering two possibilities late Wednesday, said its chairman, Sen. Joe Dunn, D-Santa Ana. The first would impose fines that compound each successive day Enron remains in contempt. The second would exclude the Houston-based marketer from selling energy in California until it hands over documents.

"We're reviewing the (legal) basis for such a recommendation," Dunn said.

Enron spokesman Mark Palmer said he had no response to the potential penalties but stressed that his company is still discussing the contempt matter with lawmakers.

In Reliant's case, lawmakers and the company disagreed Wednesday over whether the committee's own confidentiality agreement affords enough protection of trade secrets.

Reliant attorney Charles Stevens said his company would rather have a court order to ensure that its proprietary information would be safe. But committee members objected to involving the state's judicial branch, charging that it would disrupt the separation of powers.

Several times during the hearing, Dunn conceded that Reliant, like Enron, may ultimately resort to a lawsuit to resolve its disagreement with the committee.

"We have not made that decision at this time," said Stevens, the Reliant attorney. "We've always preferred to resolve the dispute with the committee informally, and we continue to look for ways to do that."

Should Reliant work out an agreement with lawmakers by cooperating with the document requests, the contempt vote would be purged, Dunn said.
The Legislature last held someone in contempt in 1929, when concrete company officials did not comply with subpoenas in a price-fixing case.
In a vote late Wednesday, meanwhile, the Senate's energy committee voted down one Edison proposal. It will be reconsidered this morning.
Two competing Assembly proposals to keep Edison from bankruptcy were narrowly approved by the Energy Costs and Availability Committee. One of the proposals, by Assembly Speaker Robert Hertzberg and Assemblymen Fred Keeley and John Dutra, is scheduled for a floor vote today.

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PUC paves way for power rate increases
By Dale Kasler
Bee Staff Writer
(Published July 19, 2001)
Sparking accusations that it's abandoning its watchdog role, the Public Utilities Commission took the first step Wednesday toward promising to raise rates as much as necessary to pay the state's electricity bills.
PUC President Loretta Lynch released a proposed version of the promise -- a legally binding document known as a rate agreement. Although the agreement doesn't say there will be more rate hikes, it does commit the PUC to raising rates when requested by the state Department of Water Resources.
The agreement is essential to the state's plan to sell $13.4 billion in bonds in September to cover the water department's power purchases. The department has been buying electricity for California's three troubled investor-owned utilities.
The bonds are to be repaid with money from customers of the three utilities.
Investors would shy away from buying the bonds unless the PUC adopted the rate agreement, said Zane Mann, editor of the California Municipal Bond Advisor newsletter.
"Everyone's been kind of waiting for it," he said of the agreement.
State Treasurer Phil Angelides, who is in charge of marketing the bonds, said in a prepared statement Wednesday that the rate agreement "must be adopted so that the (state's) general fund can be repaid, and to protect the state's fiscal solvency." Angelides has been promising potential bond buyers that the rate agreement would be adopted.
The full PUC is scheduled to vote on the agreement Aug. 23.
It's unclear whether the agreement will lead to a rate increase any time soon. The water department, which will release updated revenue requirements this week, says it doesn't think the new numbers will generate another rate hike beyond the 30 percent increase the PUC approved in March for Southern California Edison and Pacific Gas and Electric Co.
Still, consumer advocates said the rate agreement would represent a surrender of the PUC's traditional job of protecting ratepayers.
The agreement would permit "an unaccountable state agency, riddled with conflicts of interest, to unilaterally order rate hikes," said Harvey Rosenfield, president of the Foundation for Taxpayer and Consumer Rights in

Santa Monica.
The water department has been accused of conflicts of interest because some of its consultants and energy traders own stock in energy companies.
Rosenfield said the PUC should reject the rate agreement and "preserve their historic role and responsibility to protect ratepayers."
Geoff Dryvynsyde, Lynch's legal adviser, said the "consumer groups are raising some good policy issues," but the commission's hands are effectively tied by legislation that put the state in the power-buying business and set in motion the bond sale.
"The bonds are really driving this," he said. "The bonds need to be sold."
Nevertheless, Eric Woychik, a consumer advocate with the Oakland-based group Strategy Integration, said ratepayers shouldn't be held responsible for high-priced power bought by the water department.
"They shouldn't pay for poorly negotiated contracts and market power abuses," Woychik said. State officials contend they were gouged by wholesale generators, while consumer groups have criticized the water department for entering into long-term purchase contracts at prices that exceed current spot-market prices. Woychik noted that the state is pursuing billions in refunds from the power generators.
The state has committed more than $8 billion from the treasury for power purchases, causing Wall Street to downgrade the state's credit rating. The bond offering -- the largest government bond sale in U.S. history -- is designed to replenish the treasury and finance future purchases.
Despite some uncertainty about the state's finances and the effects of the energy crisis, the bonds should sell well, Mann said.
"Mutual funds have been accumulating money to buy the bonds," the newsletter editor said.

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California selling surplus power at fraction of cost it paid

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By Karen Gaudette ASSOCIATED PRESS July 19, 2001 SAN FRANCISCO ■) California has begun selling power for a fraction of its purchase price as cool weather creates an abundance of electricity, spending that has been criticized by some watching the state's power crisis closely. Power the state bought at an average of $138 per megawatt is being sold for as little as $1, energy traders say, though the price is disputed by state officials. The state acknowleges the power sales, but says the surplus represented only a blip in an otherwise typical scorching summer and that blackouts still could roll if temperatures increase again.
However, the surplus power selloff could encourage criticism that the state bought too much power at too high a price in its haste to fend off rolling blackouts and power prices 10 times higher than the year before. "If the price is $138 on average for a month and you have to turn around and sell a chunk of it for a dollar, you're not going to look real good to a number of people," said Gary Ackerman, executive director of the Western Power Trading Forum in San Jose. "I just don't think many people in California truly

understood what their state did when they stepped into this business."
Unlike natural gas, extra electricity cannot be stored away for a later day. Since Californians haven't been running their air conditioners as often as expected over the past week, the state hasn't needed the entire 38,000 megawatts it had figured it would need. The state Department of Water Resources, in charge of buying power for three financially ailing utilities, has spent the past few months arming the state with long-term energy contracts while weaning itself away from buying the highest-priced power on the last-minute electricity market. Those contracts, along with last month's 20 percent boost in energy conservation and the temperate weather, mean there's suddenly more power than Californians can use. Energy traders say the state has tried to sell as much as 6,000 megawatts at one time, Ackerman said. That's around 16 percent of the 38,000 megawatts the state estimated it would use around this time of year, Ackerman said. A megawatt is enough electricity to power roughly 750 homes. "We know from traders who have bought that it's gone as low as a dollar and last week we know it was as low as $5," Ackerman said. "When a seller shows up with an enormous amount of power for sale and the market knows it, it has a depressing effect on prices." California Energy Markets, a trade weekly, said the state sold power last Thursday at $25 per megawatt ■) a price that Steve Maviglio, a spokesman for Gov. Gray Davis, said was "much closer to reality." The state "never sold anything more than 1,000 megawatts on any single day," Maviglio said. "(Ackerman) has no evidence" of California selling power for $1, Maviglio said. "California Energy Markets is much closer to reality." Oscar Hidalgo, a DWR spokesman, acknowledged the state has been trying to sell as much as 20 percent of its daily megawatts, though he would not say at what price. That could put the state at a disadvantage in the market if competitors knew how much it was paying, Hidalgo said. "This is unusual, but it was anticipated, it is typical in the power buying operation," Hidalgo said. "It's better than doing nothing with surplus power," Hidalgo said. "Scheduling energy is a balancing act because you can't store the item." Hidalgo said the state is sending some of the extra electricity up to the Bonneville Power Administration to repay it for power it had loaned California earlier this year. "This is not a bad position for us to be in every once in a while," Hidalgo said. "If someone were to make these long-term contracts go away, we would fall off a cliff and be back where we were in January."

PUC reveals plan to transfer much of watchdog role

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By Craig D. Rose UNION-TRIBUNE STAFF WRITER July 19, 2001 The California Public Utilities Commission laid out a framework yesterday for transferring much of its watchdog role in ensuring fair electricity rates to the state Department of Water Resources. The controversial proposal is in response to legislation earlier this year that puts the water department in charge of state power purchases. Utilities commission action is needed to ensure that the water department has enough revenue to make the purchases and to clarify areas of responsibility, including oversight of power rates. Under the draft

agreement made public yesterday, the commission would guarantee that consumers pay enough to cover interest payments on a planned $13.4 billion bond sale later this year. The guarantee is considered an essential element for completing the bond sale. The bonds' proceeds are needed to repay some $8 billion the water department already has spent to purchase electricity and to cover future payments. California began buying electricity through the water department earlier this year after the state's utilities were unable to make purchases because of credit problems brought on by the state's failed deregulation plan. No mention was made in the draft agreement of the possibility of further rate increases to cover electricity purchases. Some observers have speculated that the current rate structure, even after two rounds of rate increases, may not cover all costs. On the other hand, the draft agreement states that the water department itself will determine if the prices it pays for electricity meet the legal test of being just and reasonable, a determination heretofore made by the utilities commission. Under the utilities commission's procedure, the public is invited to comment on the draft. An administrative law judge for the commission will consider the draft before issuing a proposed decision. A full commission vote is expected Aug. 23, a deadline that would have to be met if the bond offering is to proceed as planned later this year. Harvey Rosenfield, president of the Foundation for Taxpayer and Consumer Rights, said the utilities commission's draft agreement would allow a "secretive agency of dubious competence controlled by the governor and completely unaccountable to the public" to unilaterally order rate increases. "It was deregulation which got us into the mess we are in today," Rosenfield said. "Now Wall Street is demanding that the (utilities commission) be forced to surrender its authority and legal responsibility." He urged the commission to reject the draft proposal. Carl Wood, one of five members of the Public Utilities Commission, said the draft agreement was driven largely by legislation empowering the water department as an electricity purchaser. With a state department buying power, Wood said, oversight shifts to the governor and the Legislature. Commissioner Richard Bilas said he saw the agreement as empowering the water department as "prosecutor, judge and jury" in matters of electricity purchasing. "The argument is that it's better off this way than the way we were," Bilas said. "And that's true in the short run. But what about in the long term?"

Variety of plans to help Edison find friends, foes

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Agreement in Legislature doesn't seem likely soon By Ed Mendel UNION-TRIBUNE STAFF WRITER July 19, 2001 SACRAMENTO -- Plans to aid Southern California Edison met mixed fates in legislative committees yesterday amid opposition from business, consumers and Edison itself, which said one of the plans would not restore its ability to borrow money. The Senate energy committee rejected a plan that is tough on Edison, but the committee plans to consider it again today. In the Assembly, a committee approved two plans. One has the support of Democratic leaders, is viewed more favorably by Gov. Gray Davis and has not drawn opposition from Edison. The other, crafted by the committee

chairman, Rod Wright, D-Los Angeles, and Republicans, is supported by businesses and Edison. Senate President Pro Tempore John Burton, D-San Francisco, told an Edison official during a committee hearing that financial experts have told him repeatedly that bankruptcy is the logical course for Edison. "They keep saying they don't understand why a business in your situation does not avail themselves of that," Burton said. The Senate leader told the Edison official not to expect the usual legislative compromises that would give the utility most of what it is seeking in a rescue plan. "I want to disabuse you of the fact that somehow you are going to get some great big deal at the end of the rainbow," Burton said. "Because you are not going to." The Senate and Assembly Democratic leadership plans require businesses to pay off most or all of Edison's debt, while also preventing businesses from shopping around for cheaper power. Business groups oppose the plans because of those provisions. Davis is pushing for a legislative plan that would keep Edison from joining Pacific Gas and Electric in bankruptcy. He wants an Edison rescue plan that could become a model for getting PG&E out of bankruptcy. Once their financial health is restored, the utilities could resume buying power for their customers, allowing the state to get out of the power-buying business it entered in January, when the utilities were crippled by a failed deregulation plan and no longer able to borrow money. But the lengthy and sometimes emotional debates in legislative committees yesterday made it clear that reaching an agreement on an Edison rescue plan in the next few days will not be easy. A plan that Davis negotiated with Edison in early April found little support in the Legislature and is not being considered. Opponents said the plan was too generous to Edison. But the alternative rescue plans prepared in the Legislature also are called too generous to Edison by a consumer group, the Foundation for Consumer and Taxpayer Rights, which is threatening to put an initiative on the ballot to repeal any Edison "bailout." Edison, on the other hand, fears that it will be saddled with too much debt and placed under a regulatory system that does not assure lenders that the utility will be able to pay costs for operating and buying equipment and power. "We don't believe this bill in its present form would restore us to creditworthiness," Bob Foster, an Edison vice president, told a committee hearing the Senate plan. The plan by Wright and Republicans was supported by business groups and Edison but opposed by consumers. All ratepayers would pay off the Edison debt and businesses would be allowed to shop for cheaper power as state long-term contracts expire. "What will come out of the mix is hard to tell," said Steve Maviglio, Davis' press secretary. "Everyone is working feverishly to get something passed in the next few days."

Baja is hoping energy squeeze can spark boom

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New electricity, gas plants seen spurring a fresh wave of growth By Diane Lindquist UNION-TRIBUNE STAFF WRITER July 19, 2001 Energy shortages in California and Mexico are firing hopes for a new wave of industrial development in Baja California, where a maquiladora slowdown has cut thousands of jobs. The power squeeze has triggered a rush to build electricity and natural gas projects in Baja California. Once those plants

are up and running, energy experts and Tijuana boosters say, the state will be able to make an unusual pitch to global manufacturers: Come to Baja California, where power is plentiful, reliable and relatively cheap. "It's a new frontier for Baja California," said Institute of the Americas president Paul Boeker, a frontier that "opens up investment opportunities that aren't possible at the moment." To seize the possibilities, Tijuana's Economic Development Corp. is pushing the Baja California government to fund a study to identify the United States' biggest electricity and natural gas users. "When we saw the price of energy going up so high in California, we thought we might be able to use this as a marketing tool," said David Mayagoitia, a director of the development group. The hope is that an influx of big-energy users, such as high-tech firms that operate clean rooms, will offset serious problems in the region's sputtering maquiladora industry. Since October, Baja California has lost 11,700 maquiladora jobs, 4 percent of the sector's total. In Tijuana alone, 7,600 positions have disappeared. "I've never seen so many large and small and medium companies narrow their operations in such a short amount of time," said Deloitte & Touche accountant Mauricio Munroy. Maquiladora insiders like Munroy blame the U.S. economic downturn, rising costs, a strong peso and a new Mexican regulatory regime for reining in the operations. Mayagoitia calls it a crisis. "Our labor costs are going up. We're not as competitive as other places in the world. We have to look for other angles." Over the past three decades, the arrival of foreign-owned maquiladoras has pushed Baja California's population to 2.5 million and transformed the state into one of the world's manufacturing hot spots. The region now ranks as a top producer of televisions and other consumer electronic products, and many other goods. There are 1,287 factories in the state, employing 278,900 workers. New operators continue to come. Since October, when employment began dropping, 33 companies have established factories in the state. Other companies, including Korean electronics giant Samsung, the state's largest operator, are expanding. But in the past nine months, the sector's growth has dropped below its routine double-digit rate. Some companies, such as Sanyo and Day Runner, have shut factories. Others are threatening to. And so many have trimmed operations that Munroy said, "I don't think we can feel comfortable the industry's going to recover." But now, California's energy crisis and cross-border power demands could alter that picture. A natural gas pipeline and three power plants in the works will boost the state's electricity output by 2,200 megawatts. As much as 1,500 megawatts could flow to California consumers. Additional plants are anticipated. Mexican Energy Secretary Ernesto Martens has said there's no limit to the number that could be built in Baja California. And California and Mexican officials are considering recruiting energy companies to start projects in Baja California. Meanwhile, numerous companies -- El Paso and Phillips, Sempra, Chevron and Chiyoda among them -- have expressed interest in building liquid natural gas facilities near Rosarito and Ensenada. The operations would convert into vapor form liquified natural gas imported from other regions for use in Mexico and the United States. Such projects could give Baja California billions of dollars in investment, thousands of construction and operating jobs, and a reputation as an energy-abundant place to do business. "Large energy consumers could come down here, set up operations and get a big break on their utilities," Mayagoitia said.

Previously, such operators have shunned Baja California. "They've always said electricity down here is not constant. There are too many fluctuations on the line," Mayagoitia said. While a bigger supply would overcome that obstacle, other challenges must be met before the region can use energy as a marketing tool. At a San Diego Dialogue forum on energy last week, Boeker listed the key elements needed to attract the next wave of industrial development to Baja California. As he sees it, they need at least one liquid natural gas import facility, to allow power generators to export to California and sell directly to companies in Baja California, and to upgrade the cross-border gas and electricity transmission infrastructure. Mexico also needs to make sure its business laws and regulations, which in the past have restricted the energy sector, allow corporations to get the supplies and prices they need to be competitive, Mayagoitia said. "We think if the numbers make sense, and they have confidence that Mexico can deliver what they need, then we'll have the market niche."

State deal lets SDG&E turn large profit

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By Craig D. Rose UNION-TRIBUNE STAFF WRITER July 18, 2001 When Gov. Gray Davis and SDG&E officials hailed an agreement last month to clear a $750 million debt owed to the utility, they neglected to publicize a key element: The deal allows San Diego Gas & Electric to earn $120 million from the sale of electricity to California. At the time the deal was announced, SDG&E said it was making a major concession by agreeing to refund $219 million in profits from several disputed power contracts. The utility also said future power sales to the state from those contracts would be at a discount. SDG&E has repeatedly asserted that it earns no profit from the acquisition and sale of electricity, only from its delivery to customers.

But in subsequent filings to the U.S. Securities and Exchange Commission, SDG&E said it will earn $120 million from the contracts. News of the earnings brought a sharp response from Michael Shames, executive director of the Utility Consumers' Action Network, a San Diego-based group. "What really irks me is that the public was told SDG&E would make a $219 million concession," Shames said. "It turns out that concession was less than $100 million, or less than half of what was advertised. "What we have found is that the deeper you dig into this deal, the worse it looks. It's beginning to be pattern." Casey Gwinn, the San Diego city attorney, also criticized the belated revelation that SDG&E stands to earn substantial sums under the contracts. Gwinn had said that SDG&E's customers should receive the benefits from the deals. "All of this should have been disclosed," said Gwinn, who added that it was impossible to determine the full profit SDG&E had made from certain power purchase agreements. Ed Van Herik, a spokesman for SDG&E, reiterated the position yesterday that profit from the contracts belongs to the company's shareholders. Van Herik declined to comment about terms of the power sales to the state. The contracts, which were signed several years ago, allow SDG&E to buy relatively low-priced power. The utility has made money by reselling that power at a higher price. The deal to clear the $750 million debt was announced in June along with Gov. Gray Davis' plan to purchase SDG&E's transmission lines for about $1 billion. The Office of Ratepayer Advocates, a watchdog agency within the California Public Utilities Commission, said yesterday the purchase price for the transmission lines was "clearly excessive" and said the money might be better spent acquiring or building new power plants. Steve Linsay, a program and project supervisor in the Office of Ratepayer Advocates, said revelation of the $120 million in profits SDG&E expects to earn from the sale of power heightened "pre-existing concerns" about the deal to settle the $750 million account. While the transmission line deal will be considered by the Legislature, the Public Utilities Commission will rule on the separate debt agreement. A spokesman for the commission said yesterday the vote on the settlement is scheduled for Aug. 2, but the issue is on hold until the commission receives more information from SDG&E. The local utility says the $750 million debt represents the difference between what it has paid for power and what it has been allowed to collect from ratepayers since last fall, when the state imposed a cap on customer payments. Some feared the so-called undercollection would become a balloon payment, payable by local customers when the rate cap ended next year. At a news conference last month, the governor and officials of Sempra Energy -- parent company of SDG&E -- described an agreement to eliminate the $750 million debt. Consumer advocates raised questions about whether the proposed resolution would be as costly to consumers as the debt itself. Under the state deregulation plan, SDG&E's profit-making business is restricted to the distribution of power. The Public Utilities Commission initially ruled that the profits from the disputed contracts should be returned to customers but SDG&E had sought to overturn the ruling in court. In another key element of the deal to resolve the debt, SDG&E agreed to pay $100 million to end an investigation into its power purchasing practices. A spokesman for the governor defended the agreement despite the revelation of future SDG&E profits. "We forced them to return about 70 percent of the profits (from the contracts)," said Steve Maviglio. "And if you look at the whole picture, it is a good deal." While SDG&E had said it earned no money from the sale of power, other units of Sempra Energy have acknowledged selling power to the state for profit. The California Department of Water Resources said it paid Sempra some of the highest prices it paid for power through the first five months of this year, when Sempra sold $429 million worth of electricity to the state.

Davis: Legislature will save Edison from bankruptcy

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Time running out for bailout bills By Ed Mendel UNION-TRIBUNE STAFF WRITER July 18, 2001 SACRAMENTO -- Gov. Gray Davis, hoping for one of his biggest legislative victories, predicted yesterday that the Legislature will send him a plan to keep Southern California Edison out of bankruptcy. But the governor's own plan, introduced more than three months ago, is not among two Edison rescue proposals being considered in the Assembly and a different one is under review in the Senate. All may come up for votes in committees today. The Legislature is scheduled to leave Friday for its annual monthlong summer recess. Davis suggested that he may try to keep the lawmakers at the

Capitol by calling a special session if the Edison issue is not resolved.
"We have been working with members of both houses," Davis said. "I am determined to get a bill passed this week, if at all possible, to allow Edison to go back into business." The state began buying power for utility customers in January after Edison and Pacific Gas and Electric were crippled by a failed deregulation plan. Davis wants the Legislature to pass an Edison plan that could also be a model for PG&E, which filed for bankruptcy in early April. "It's very important to get Edison and then PG&E creditworthy and back in the business of buying power," Davis said, "so the administration can focus on the more important things it was elected to do." But the two plans supported by Democratic leaders in both houses raise questions about whether they would keep Edison out of bankruptcy. The plans also are opposed by businesses, which would pay higher rates. A third plan proposed by the Democratic chairman of the Assembly utilities committee, Rod Wright, and by a Republican, Keith Richman of Northridge, is likely to draw support from Edison and business groups but opposition from many legislators who say it is too generous to Edison. Working out a compromise by Friday will be difficult. If negotiations continue during the recess, Davis would have the option of asking legislators to return for a day to vote on any proposal that might emerge. The middle of August is regarded as a deadline. A memorandum of understanding that Davis negotiated with Edison can be waived by either side after Aug. 15. And the state Public Utilities Commission is scheduled to take rate action a few days later in support of a $13.4 billion power-purchasing bond that could limit options for an Edison rescue. In the Senate, the governor's plan, which was criticized for being too generous to Edison, was stripped from a bill and replaced with a tough plan that would allow Edison to issue a $2.5 billion bond to pay off its debt. Edison would have to agree to a number of things, including selling power from its generators at cost-based rates, giving the state all of the output from a new power plant near Bakersfield at low rates for a decade and applying a $400 million tax refund to its back debt. A $1 billion debt that Edison owes generators, who are accused of overcharging, would be left unpaid. The Edison bond would be paid off not by residential customers but by businesses and other large users, who would not be allowed to shop around for cheaper power. In the Assembly, Wright got agreement from an Edison official when he told a hearing that a plan backed by Assembly Democratic leaders would not keep Edison out of bankruptcy. Edison would be billed for $300 million worth of power purchased by the Independent System Operator and other obligations not specificed in the bill.

PUC May Cede Control Over Electricity Rates
Energy: Chief says letting the state water agency set prices would ensure that ratepayers cover costs. Others say plan would leave public unprotected.
By TIM REITERMAN and NANCY VOGEL
Times Staff Writers

July 19 2001

SAN FRANCISCO -- California's chief utility regulator proposed Wednesday to provide rubber-stamp approvals of any future electricity rate increases that state power buyers find necessary.

This fundamental shift in the state's regulatory structure would bypass procedures that currently protect the interests of consumers.

The proposed agreement between the state Public Utilities Commission and the state Department of Water Resources is designed to guarantee that consumers pay enough to cover the purchase by the state of electricity for the 27 million people served by three financially troubled utilities.

Consumer payments will be used to repay bonds the state plans to float later this year. The bonds will be used to reimburse the state treasury for money spent on electricity. The PUC is expected to formally ratify the agreement Aug. 23.

A spokesman for the water department said that a historic rate increase in March is expected to cover all of the agency's costs and that no new hikes will be necessary.

But under the terms of the proposed agreement, if that expectation proves incorrect and future hikes are needed, the PUC promises to adjust electricity rates to meet the department's need for revenue within 90 days, or 30 days in emergency situations.

"The ruling gives carte blanche to [the department] to do whatever they want to do," said Richard Bilas, a PUC member appointed by former Gov. Pete Wilson. "We don't have much control over them. I am uncomfortable with it."

If approved, the agreement would shift the oversight of electricity rates from the PUC, an independent regulatory body whose members are appointed by the governor, to a state administrative agency that is under the governor's direct control.

S. David Freeman, Gov. Gray Davis' chief energy advisor, said the agreement would essentially transform the state water department into "the equivalent of a municipal utility" that has sole discretion to raise revenue from its customers.

The PUC would only have the authority to "make sure that our math is OK, and we haven't gone out and bought the Brooklyn Bridge," Freeman said.

Already, however, the state's judgment in buying power has been questioned. The Department of Water Resources has signed long-term contracts designed to ensure stable supplies. But critics have charged that those contracts have locked the state into prices that are too high. Indeed, because of cool weather and reduced demand by consumers, the state--at least temporarily--is buying more power than California needs and has begun reselling some of it for considerably less than it costs.

In another energy-related development, a top executive of Southern California Edison Co., one of the three utilities that has been flirting with insolvency, criticized as inadequate a state Senate bailout bill.

The bill is a thoroughly rewritten version of a highly publicized deal Davis and Edison officials fashioned in April to restore the company's financial health. That deal called for the state to buy the utility's transmission lines for $2.76 billion.

At a hearing of the Senate Energy Committee, Bob Foster, an Edison vice president, testified that the Senate version, which is expected to be voted on this week, would leave Edison $1 billion short of meeting its financial needs.

The problems of Edison, Pacific Gas & Electric Co. and San Diego Gas & Electric Co. triggered the need for the deal between the PUC and the water department. That agreement was hammered out in high-pressure negotiations that involved dozens of state officials and bonding experts. It is viewed by state officials and bond analysts as critical to the sale this summer of the $13.4-billion bond issue.

But Harvey Rosenfield, president of the Foundation for Taxpayer and Consumer Rights in Santa Monica, said the agreement would strip away the PUC's constitutional obligation to protect consumers from unreasonable rate hikes.

"This is a power play by the Davis administration, the energy companies and Wall Street to eliminate any public scrutiny over their conduct and the price of electricity for the next 10 to 15 years," he said.

The agreement is the latest step in implementing emergency legislation passed this year to allow the water department to buy power. The agency stepped into the market after the three utilities said that rates frozen under the state's deregulation plan were preventing them from recovering their costs and were threatening their solvency.

Assembly Bill 1X, signed into law by Davis in February, provided that the water department would be able to recover its costs and directed the PUC to implement an agreement to accomplish that.

The agreement also would provide assurance to Wall Street that electric rates would provide a reliable flow of funds that could be used to pay off the bonds. The state hopes to use the bonds to create a revolving fund that would pay for $8 billion in current and future power costs.

State Treasurer Phil Angelides said the rate agreement "must be adopted so that the general fund can be repaid, and to protect the state's fiscal solvency. . . . This agreement provides the assurance that, for the term of the bonds, the law will be honored so that bonds can be sold and bondholders repaid."

Equally important is the water department's projection of how much revenue the agency needs for everything from spot market power purchases and the cost of long-term contracts to administrative costs and debt service. That detailed assessment will indicate whether the increase approved in March--an average hike of 3 cents per kilowatt/hour--will be enough to cover the department's costs for the two-year period ending Dec. 31, 2002. Officials at the PUC and the department said the projection could be submitted as soon as Friday.

"We do not anticipate that [the department] will be seeking any further increase beyond the increase announced by the PUC last spring," said department spokesman Oscar Hidalgo. "We're well within the 3-cent increase."

The department's statement of its revenue needs has ramifications not only for consumers, but also for utilities. Utility officials fear that their own costs might not be covered after the department takes its share of the revenue from monthly bills.

PG&E spokesman Ron Low said the company's lawyers are assessing the proposed agreement but would have no comment on it until they can see the water department's revenue requirement. He said the company hopes there will be enough left "to ensure our customers are treated fairly" and to cover the company's costs, including payments for the power it produces and purchases through contracts.

Edison officials said they would not comment until they received more information.

The proposed agreement, though not unanticipated, would reduce the role of the PUC in one of the most pivotal chapters of the energy crisis.

Normally, the PUC holds hearings and conducts "prudency" reviews before making decisions on rate increases, but the water department would not be subject to the same procedures.

"It will not be a review where we say you were imprudent, you goofed up and will have to eat the cost, or you badly negotiated these contracts," said Commissioner Jeff Brown, who was part of the negotiations.

Brown said the two agencies had differences over issues such as whether the water department's administrative costs should be covered by the rate agreement and the extent of the PUC's review. But he said the overriding concern was that the state's bond sale not be delayed or otherwise jeopardized by uncertainty about the water department's ability to meet its financial obligations.

"I wish we were not in this situation," he said. "But when we started doing purchases, the state was the only credit-worthy entity. We're swimming upstream."

Commissioner Bilas said that although the bond sale is highly important, he is concerned that the water department will not be subject to governmental checks and balances because the department head reports directly to Davis.

"If the governor believes the director of [the department] is doing a bad job, he can be removed," Bilas said. "But it is a matter of how much faith you have in individuals rather than faith in a system."

Commissioner Carl Wood, one of Davis' three appointees on the five-member commission, pointed out that the PUC was set up to protect the interests of the customers of private utility companies with a monopoly. "When a public agency takes over [the purchase of power], things like a prudency review do not have the same meaning," he said.

PUC President Loretta Lynch, who published the proposed agreement and solicited comment on it, could not be reached Wednesday.

Her legal advisor, Geoff Dryvynsyde, said the commission has to make a public policy choice that weighs the need to sell the bonds against its own authority to set rates.

"There is lots to balance here," he said. "A really important consideration is the bond deal, and the rate agreement is important to getting that done."

Reiterman reported from San Francisco, Vogel from Sacramento. Times staff writer Carl Ingram contributed to this story.

IN BRIEF / SACRAMENTO
Power Firm Is Held in Contempt by State Panel
From Times Staff, Wire Reports

July 19 2001

A state Senate committee voted unanimously Wednesday to hold Texas-based Reliant Energy Inc. in contempt for failing to comply with a demand to produce secret business records.

Reliant is one of seven power generators under investigation by the Senate committee for failing to obey a subpoena for documents the companies consider to be trade secrets or proprietary information.

Reliant attorney Charles J. Stevens said that compliance with the committee's demands potentially would expose the company's most secret information to its competitors.

Electricity cost tops Californians' concerns
SURVEY: Governor now getting some credit for improving the situation
John Wildermuth, Chronicle Political Writer
<mailto:jwildermuth@sfchronicle.com>
Thursday, July 19, 2001

URL:
<http://www.sfgate.com/cgi-bin/article.cgi?f=/c/a/2001/07/19/MN199435.DTL>

</cgi-bin/object.cgi?object=/chronicle/pictures/2001/07/19/mn_chronsurvey.jpg&
paper=chronicle&file=MN199435.DTL&directory=/c/a/2001/07/19&type=printable>
</cgi-bin/object.cgi?object=/chronicle/pictures/2001/07/19/mn_chronsurvey.jpg&
paper=chronicle&file=MN199435.DTL&directory=/c/a/2001/07/19&type=printable>
The lights have stayed on this summer, but California residents are more anxious than ever about the state's energy crunch, according to a survey released today.
"People are still very worried," said Marc Baldassare, who directed the poll for the Public Policy Institute of California. "They're not convinced we're totally out of danger."
While a record number of residents list electricity prices as the state's top problem, Gov. Gray Davis seems to be getting some credit for improving a bad

situation.
The poll found only 39 percent of those surveyed approve of the way Davis is dealing with the power problems, but that's a steady increase from the 29 percent mark he had in a similar survey two months ago.
"As time goes by without any significant new problems, people realize that an effort has been made," Baldassare said. "If things aren't normal, they don't seem to be getting any worse."
More than half those surveyed list electricity prices as the state's top concern, with all other worries paling by comparison. Education, the leading issue just last year, was listed as the state's most important issue by only 9 percent of those surveyed, with jobs and the economy third with 5 percent.
"People need to realize that there's not an endless supply of power and oil, " said Austin Eddy of San Francisco, one of those surveyed. "Maybe these problems can serve as a wake-up call."
The poll of 2,007 Californians, conducted July 1 to July 10, has a margin of error of plus or minus 2 percentage points.
The overall news for the governor in the survey isn't good despite the upturn in numbers for his attempt to ease the power crunch. Davis is still getting his share of blame, and it is showing in his approval ratings. Only 44 percent like the job he is doing as governor, while 45 percent are unhappy with his performance. That's down slightly from his 46 percent approval rating in May and far below the 63 percent mark Davis had in a January survey.

APPORTIONING THE BLAME

Those polled still give utility companies, such as Pacific Gas and Electric Co., and former Gov. Pete Wilson and the legislators who approved utility deregulation much of the blame for the current crisis, but they are increasingly calling Davis and the current Legislature to account. The percentage of people who blame Davis for the power problems jumped from 10 percent in May to 16 percent in the new survey.
"People are less likely to look in the past for blame and more willing to look at the current situation," Baldassare said. "They are moving toward blaming the people in charge now."
But Davis seems to be winning the high-stakes public relations battle he's having with President Bush over the energy crisis. Bush saw his approval rating in the state skid from 57 percent in May to 47 percent today while the proportion of people who disapprove of the way he's handled the power woes jumped from 56 percent to 63 percent.
When asked who is more to blame for the state's electricity problems, 26 percent of those surveyed chose Davis to 12 percent who chose Bush.
But when asked who is providing better solutions to the problem, 34 percent chose the governor compared with 8 percent who give Bush the nod.

BAD MARKS FOR BUSH

"The energy problem has hurt Bush," Baldassare said. "Very few people think he's come up with good solutions."
Much of Bush's proposed energy plan runs contrary to California's preferences. The president's program backs oil drilling in environmentally sensitive areas, calls for the possibility of more nuclear plants and opposes oil price controls.
"I don't think Bush has his priorities straight," Eddy said. "He's not

concerned about finding alternative ways of doing things and changing the way things are done."

The new poll shows 56 percent of those surveyed favoring price controls, 57 percent opposed to nuclear power plants in their region and 71 percent against oil exploration in federally protected areas.

More than two-thirds of those surveyed, including half the Republicans, believe that the environment must be protected, even if it means higher prices for gas and electricity.

"Bush has talked about the need to increase the energy supply, but his ideas have not gained any traction in California," Baldassare said. "A lot of people here oppose a trade-off with energy and the environment."

CHART 1:
E-mail John Wildermuth at jwildermuth@sfchronicle.com
<mailto:jwildermuth@sfchronicle.com>.
Worried
Top three concerns of Californians, according to a new poll:
Electricity prices, deregulation
56%
Schools, education
9%
Jobs, economy, unemployment
5%
Source: Public Policy Institute of California

CHART 2:
Approval ratings
For the first time, a majority of state residents view the energy crunch
as
California's No. 1 problem, according to a Public Policy Institute of California poll. At the same time, the public's view of Gov. Gray Davis' handling of the energy crisis has improved since May while residents are more critical of President Bush's actions than they were two months ago.
-- Do you approve or disapprove of the way that Gray Davis is handling the issue of the electricity problem in California?
May 2001
Approve 29%
Disapprove 60%
Don't know 11%
July 2001
Approve 39%
Disapprove 51%
Don't know 10%
CHART 3
-- Do you approve or disapprove of the way that President Bush is handling the issue of the electricity problem in California?
May 2001
Approve 33%
Disapprove 56%
Don't know 11%

July 2001
Approve 28%
Disapprove 63%
Don't know 9%
The survey of 2,007 California residents was conducted July 1-10. It has a margin of error of plus or minus 2 percentage points.
Source: Public Policy Institute of California
Chronicle Graphic

PG&E rebates snub longtime watt watchers
WHO WINS?: Reward is easier for those unaccustomed to power scrimping
Joe Garofoli, Chronicle Staff Writer <mailto:jgarofoli@sfchronicle.com>
Thursday, July 19, 2001

URL:
<http://www.sfgate.com/cgi-bin/article.cgi?f=/c/a/2001/07/19/MN144662.DTL>
If you've spent months squinting through dimly lit nights and still didn't get a 20 percent rebate on your most recent utility bill, you're going to hate hearing about Anne Crawford.
Conserving enough electricity to get a refund from Pacific Gas and Electric Co. was "too easy" for the resident of San Francisco's Noe Valley. She merely replaced a handful of high-wattage bulbs, turned off her computer, and voila
--
her electricity usage dropped 29 percent over last year.
That makes Crawford a winner in Gov. Gray Davis' new program that cuts 20 percent off the bills of customers who reduce their usage 20 percent.
Crawford's payoff: $6.09, less than the average residential rebate of $10.78.
Like most winners, Crawford endured little hardship to receive a credit on her bill.
"I hear all these stories about all these heroic things people did," Crawford said, "but I didn't really do anything special."
If only it were that easy. Nearly a third of PG&E customers have opened their bills this month to find a credit for conserving, but many of the 71 percent who didn't are ticked. They complain that the program rewards watt hogs who needed to conserve instead of the conservationists who have been doing the right thing for years.
But that is of little consequence to the 510,000 PG&E residential customers who have received $5.5 million in rebates so far. (The utility is nine days through its 21-day billing cycle.)
Chip Gibbons knows how he's going to spend the $4.03 burning a hole in his pocket.
"It's not enough to buy a bargain movie ticket, so I think I'm going to get a 10-pound bag of Kitty Litter," said Gibbons, who cut his electricity consumption at his Castro apartment by half.
Gibbons' secret: "My roommate moved out."
NO REWARD TOO SMALL
Some rebate winners were glad to see huge conservation investments pay off.

Robyn Simonett dropped $700 on a new energy-efficient refrigerator to replace the 15-year-old model in her Berkeley bungalow. That, combined with keeping the thermostat at 62 degrees, made all those days of typing in gloves with the fingertips removed and doing jumping jacks on the hour worth the struggle once she opened her PG&E bill.

Her cash reward: $3.

"I went, 'Woo-hoo, yeah,' " Simonett said. "Hey, it's something."

Psychically, it's good to get cash back from PG&E after months of soaring rates, agreed Leonard Graff, winner of a $7 rebate for conservation at his San Francisco home. And while it may look like he's in the hole after spending $150 on fluorescent bulbs and a new lamp to replace a watt-sucking torchere, "those bulbs will pay for themselves soon. I'll have them for 10 years."

If only Gretchen Beck had rebate cash to spend on cat box filler. She saved 19 percent -- just missing the rebate threshold. She couldn't have done much more. She didn't watch TV for three months, used only the lights she needed, turned off all the right things. Maybe if she unplugged her electric mattress warmer, she might have. . . .

"No way," said the resident of San Francisco's Bernal Heights. "I'd unplug my refrigerator first."

WATT WASTERS CASHING IN

Beck wasn't bitter about not getting a rebate. Some also-rans, however, complained about the unfairness of rewarding watt hogs while overlooking PG&E's good energy citizens.

Privately, one PG&E official said, "We tried to tell the governor's office that when they came up with this program."

"It's unfair to people who have been efficient all along," said Marc Acheson, an Oakland resident who bundled up, bought energy-efficient bulbs and did all the right things long before there was an energy crisis. The downside to doing the right thing: Acheson doesn't think he'll get a rebate when his bill arrives.

"There should be something for people like my wife and I, who won't get a refund. But I guess this program is meeting its target: people who were wasting a lot."

A PAT ON THE BACK

Don't look to the governor's office for a reward for longtime conservationists. Davis feels they've already received one.

"Their reward is the years of savings they've had for doing the right thing, " said Davis spokesman Roger Salazar. "The governor considers them the real heroes of this crisis."

Being called a hero is nice, but many customers said they would prefer cold hard cash.

The program had to make targets of watt hogs, as Salazar said, because that's where the most waste was. Besides, he said, the hogs will be hit by the new rate increases approved by the state Public Utilities Commission.

PG&E estimated that 65 percent of its residential customers would be paying higher rates for their June bills. Only customers who stay within 130 percent of their baselines will be immune from further rate increases.

For those who didn't get a rebate in this billing cycle, they'll get another shot in July, August and September usage. But Beck still won't unplug her

mattress warmer for a rebate.
"At this point, I'm going to say screw it," Beck said. "I'm already a low user, and I've got more important things going on in my life."
E-mail Joe Garofoli at jgarofoli@sfchronicle.com <mailto:jgarofoli@sfchronicle.com>.

Assembly panel OKs two bills to help Southern California Edison
Lynda Gledhill, Chronicle Sacramento Bureau <mailto:lgledhill@sfchronicle.com>
Thursday, July 19, 2001

URL:
<http://www.sfgate.com/cgi-bin/article.cgi?file=/chronicle/archive/2001/07/19/MN186516.DTL>
Sacramento -- Two sharply contrasting plans to prevent debt-ridden Southern California Edison from being dragged into bankruptcy cleared a key Assembly committee last night, but a third measure stalled in the Senate.
The first bill approved by the Assembly Energy Cost and Availability Committee calls for the state to purchase Edison's transmission lines for $2.4 billion as a way to help the utility out of its estimated $3.5 billion in debt.
The plan drew criticism from business and consumer groups, and many lawmakers who said other aspects of the rescue plan are too complicated wondered openly if it wouldn't be better to let the utility to go bankrupt.
But Assemblyman Fred Keeley, D-Boulder Creek, an author of the bill, said before the 11-to-9 vote that lawmakers have to work with legislation that is complicated and not entirely pleasing.
"If this was easy, or if this was simple, we wouldn't call it a crisis," he said. "This is far beyond a problem or a policy that we can debate and as a consequence the solutions are neither simple or easy."
After a day of furious activity, the close vote -- with some Democrats joining Republicans in opposition -- may spell trouble when it reaches the floor of the Assembly.
The Assembly Appropriations Committee approved the plan 12 to 6 late last night, setting up a floor vote for today.
The second plan that cleared the Assembly committee would be a "straight bailout," said its author, Assemblyman Rod Wright, D-Los Angeles. It was approved 12 to 3. The Appropriations Committee did not take up Wright's bill.
The state would back $3.5 billion in bonds issued by the utility and then be repaid through a $2-a-month charge for Edison ratepayers.
The Edison deal is considered a linchpin to getting the state out of the power-buying business, something that is costing taxpayers upward of $50 million a day. If Edison joins Pacific Gas and Electric Co. in Bankruptcy Court, there is no clear way out of the electricity-buying business for the state.
Gov. Gray Davis has said that he hopes any rescue plan for Edison would be used as a model for PG&E to get out of court and back into the power-buying business.
Also, a Senate committee defeated another proposal after the company said it would not work. The bill would let the utility issue $2.5 billion in revenue

bonds, to be repaid by ratepayers.
The Senate Energy Utilities and Communications Committee's 4-to-3 vote came as lawmakers struggle to approve some kind of rescue plan before the end of the week, when they are scheduled to start a monthlong recess. The bill needed five votes to pass and the chairwoman of the panel said another vote would be taken today.
Sen. Jackie Speier, D-Hillsborough, who abstained from voting in the committee, said the bill was defeated because senators weren't prepared to send it to the floor yet.
"The bill does not have broad support in the Democratic caucus," said Speier, who opposes the bill.
Edison objects to the bill by Sen. Byron Sher, D-Palo Alto, because it contains no way for the company to pay back the other $1 billion it owes generators. Bob Foster, an Edison vice president, said the goal of a rescue plan is to remove the state from the electricity business and restore the utility to creditworthiness.
"This bill can't do that," he said in a Senate hearing.
Sher's proposal would also give the state a five-year option to purchase the transition lines and would make the largest commercial businesses pay for all of the debt.
Business groups and consumer organizations blasted the measure.
"We think you should spread the cost proportionally to all ratepayers," said Dominic DiMare of the California Chamber of Commerce. "This is businesses subsidizing residents. Everyone used energy during this time period that the debt was accrued, and everyone should pay their share."
Doug Heller of the Foundation for Taxpayer and Consumer Rights said consumers will see the cost in the end through higher prices passed on by businesses.
But Senate leader John Burton said the proposal by Sher was the only one that might be approved by the Senate.
"It's a fair, just and equitable offer," he said. "It puts the burden on those who can most afford it, and it doesn't overpay for the transmission lines.
Many lawmakers say letting Edison go into bankruptcy may be better than rushing through a rescue plan.
With each house likely to pass different versions of a rescue plan, it is unclear if the difference will be resolved before the break, or if lawmakers will be called back to vote on a final plan during their vacation.
An agreement between Gov. Davis and Edison, which has been all but dismissed by lawmakers who say it is too generous to the utility, contains an Aug. 15 deadline.

Saving Edison
A comparison of three bills that attempt to rescue financially troubled Southern California Edison: .
AB82xx by Assemblyman Fred Keeley, D-Boulder Creek (Santa Cruz) and Assembly Speaker Robert Hertzberg, D-Sherman Oaks (Los Angeles County)
TRANSMISSION LINES
Proposes spending $2.4 billion for transmission lines to help cover the utility's estimated $3.5 billion in debt.
BACK DEBT (All of the plans allow the utility to issue bonds to repay the

debt, but each has it repaid by customers in a different way) Debt not covered by the sale of transmission lines will be paid back by all ratepayers for two years, then fall exclusively on the shoulders of large commercial customers. Money raised will be placed in a trust account of an amount equal to 70 percent of the utility's back debt. Generators owed money can either accept partial payment or fight the trust in court.

DIRECT ACCESS

Phases in the ability of consumers to bypass the utility and contract directly for power. As the state's obligation to purchase power is reduced, customers may opt for direct access during specified open enrollment periods, to occur at least twice a year. .

AB83xx by Assemblyman Rod Wright, D-Los Angeles

TRANSMISSION LINES

No purchase of transmission lines.

BACK DEBT

All of the debt will be paid for by all customers with a $2-per-month charge.

DIRECT ACCESS

Same .

SB78xx by Senator Byron Sher, D-Palo Alto, and Richard Polanco, D-Los Angeles

TRANSMISSION LINES

Includes a 5-year option for the state to purchase the lines for $1.2 billion.

BACK DEBT

It would only allow $2.5 billion to be paid to alternative power generators and banks and does not deal with the $1 billion owed to generators. All of the $2.5 billion would be paid by large commercial customers.

DIRECT ACCESS

Does not address the issue.

Chronicle Graphic

E-mail Lynda Gledhill at lgledhill@sfchronicle.com
<mailto:lgledhill@sfchronicle.com>.

Cool weather brings California energy glut, causing state to sell surplus power at a loss

KAREN GAUDETTE, Associated Press Writer

Thursday, July 19, 2001

URL:
<http://www.sfgate.com/cgi-bin/article.cgi?file=/news/archive/2001/07/19/financial0358EDT0024.DTL>

(07-19) 00:58 PDT SAN FRANCISCO (AP) --

Unseasonably cool weather has turned the California power crisis on its head, with recent energy shortages giving way to a glut that's prompted the state to sell excess power at a loss.

In some cases, traders say, energy bought at an average of $138 per megawatt is being sold for as little as $1 per megawatt.

State officials acknowledged selling excess power over the past week, but disputed the prices. They said the sales are a blip during a long, hot summer and blackouts are still possible if the mercury soars.

"This is unusual, but it was anticipated, it is typical in the power buying operation," said Oscar Hidalgo, a spokesman for the Department of Water Resources, which is in charge of buying power for three financially ailing utilities. "It's better than doing nothing with surplus power."
The agency has spent the past few months arming the state with long-term energy contracts while weaning itself away from buying high-priced power on the last-minute electricity market.
Those contracts, along with the temperate weather and a boost in energy conservation, mean there's suddenly more power than Californians can use.
Hidalgo acknowledged the state has been trying to sell as much as 20 percent of its daily megawatts, though he would not say at what price.
"We know from traders who have bought that it's gone as low as a dollar and last week we know it was as low as $5," said Gary Ackerman, executive director of the Western Power Trading Forum in San Jose.
Unlike natural gas, extra electricity cannot be stored and used later. Since Californians haven't been running their air conditioners as often as expected over the past week, the state hasn't needed the entire 38,000 megawatts it had figured it would need. A megawatt is enough electricity to power roughly 750 homes.
The surplus power sell-off could encourage criticism that the state bought too much power at too high a price in its haste to fend off blackouts.
"If the price is $138 on average for a month and you have to turn around and sell a chunk of it for a dollar, you're not going to look real good to a number of people," Ackerman said. "I just don't think many people in California truly understood what their state did when they stepped into this business."
Steve Maviglio, a spokesman for Gov. Gray Davis, said Ackerman has no evidence of California selling power for $1 a megawatt. He said a $25-per-megawatt price mentioned by California Energy Markets, a trade weekly, was "much closer to reality."
Some of the extra electricity is being sent to the Bonneville Power Administration, a power supplier in the Pacific Northwest, to repay it for power it loaned California earlier this year, Hidalgo said.

Investigative arm of Congress issues demand letter for energy meetings
PETE YOST, Associated Press Writer
Thursday, July 19, 2001

URL:
<http://www.sfgate.com/cgi-bin/article.cgi?file=/news/archive/2001/07/19/national0311EDT0466.DTL>
(07-19) 00:11 PDT WASHINGTON (AP) --
The investigative arm of Congress demanded Wednesday that Vice President Dick Cheney identify all the industry leaders who helped formulate the Bush administration's energy policy. Refusal could lead to a court fight.
The White House, which is reviewing the request, said it would work with the General Accounting Office to resolve the issue.
The GAO letter follows repeated refusals by the vice president's office to provide names and titles of participants who met with the energy task force chaired by Cheney.

Under the law, the GAO could sue if the Bush administration fails to supply the data within 20 days.
This is the first demand letter ever issued by the GAO to the vice president of the United States, said Democratic Reps. John Dingell and Henry Waxman, who directed the agency to review the task force's work nearly three months ago.
The vice president's lawyer has told the GAO there were nine meetings of the task force and that staffers also met with many people to gather information.
The result was an energy policy, announced May 17, that is aimed at increasing the nation's supply of energy. It includes expanded oil and gas drilling on public land and a rejuvenated nuclear power system.
White House spokeswoman Anne Womack said the letter is under review, and "we will continue to work with the GAO to resolve this issue."
The vice president's office "has continued on its course of secrecy and obstinance," Dingell said in a statement.
"The White House should simply try telling the truth ... and stop hiding information that Congress and the public have a right to see," said Waxman.
A top Cheney aide, Mary Matalin, said Waxman and Dingell should "stop wasting taxpayers' money" with their confrontation with the vice president. "If they want to know what happened in the energy task force meetings, they need look no further than the policy we sent to the Hill," she said.
The White House's position is that the GAO is entitled to information on the task force's costs, but that the congressional watchdog agency doesn't have authority to ask for lists of those with whom the task force met.
Waxman is also pressing for a Justice Department investigation of Karl Rove over the Bush political strategist's energy-related meetings.
The White House has acknowledged that Rove participated in meetings on the administration's energy policy while he owned stock in energy companies such as Texas-based Enron Corp. The White House has supplied no details on Rove's meetings.

Poll: Legislators, Davis blamed more than sellers
Posted at 10:08 p.m. PDT Wednesday, July 18, 2001
BY STEVE
JOHNSON
Mercury News

Despite months of loudly accusing electricity suppliers of price gouging and leaving the state in a terrible mess, Gov. Gray Davis and legislative leaders haven't convinced most Californians, a new poll suggests.
When the Public Policy Institute of California asked 2,007 adults this month who was mostly responsible for the energy crisis, Davis and lawmakers were blamed more than private power sellers.
Moreover, most of those surveyed said they preferred having businesses in charge of producing and distributing electricity in California and that it would be a bad idea for state government to take over that role.
``It means that the efforts to single out the power generators has really not been very effective on the part of the governor or the Legislature,'' said Mark Baldassare, who directed the non-profit research group's poll released today. ``Californians look to a whole group of actors in this crisis as

playing major parts in the problem.''
The poll was conducted before the Mercury News reported Wednesday that the state was selling costly surplus power at bargain prices, a move that had one lawmaker calling for more details from the governor. It was one of a number of recent instances in which state officials had to defend their own energy dealings. And as they have done in the past, they responded by blaming generators for most of the state's problems.
But today's poll heartened some electricity suppliers, who say they are tired of the barrage of price-gouging allegations being leveled at them.
``Wow, maybe the public understands that this problem is a lot more complex, which is what we've been saying all along,'' said Patrick Dorinson, of Mirant Corp., which has several major power plants in the Bay Area and is among the nation's biggest electricity suppliers. ``Maybe it also indicates that the public is getting tired of the blame game.''
But some experts said the poll may simply underscore a misunderstanding about the difference between utilities and other electricity sellers.
Asked who ``is most to blame for the current electricity situation in California,'' 22 percent picked the former governor and Legislature, 16 percent picked the current governor and Legislature, and 10 percent listed power generators.
However, electric utilities companies were picked by 23 percent, even though they've given up much of their electricity-producing responsibilities to private firms under the state's 1996 energy deregulation law.
Davis and other state officials have repeatedly accused private electricity sellers of overcharging the state and helping drive Pacific Gas & Electric Co. into bankruptcy. Still, ``most consumers don't know the difference'' between utilities and the firms that supply power to the utilities, said Steve Maviglio, Davis' chief spokesman.
Even some experts hired by the energy industry say it's easy for the public to be confused.
The way power is bought and sold in this deregulated energy marketplace probably mystifies many, said Marty Wilson, who has polled about 6,000 Californians this year for Reliant Energy of Houston.
Nevertheless, Wilson added that his polling also finds little support for the notion that power suppliers are primarily to blame. About 40 percent of those he has questioned attribute the state's energy problems to the 1996 law. By contrast, the percent of people who blamed private power suppliers was less than half that, he said, adding, ``they clearly see this as a failure of government.''
Still, Davis isn't likely to ease up on his criticism of private power suppliers. ``The governor will continue to point the finger at whoever he sees as causing prices to rise,'' Maviglio said, ``and the No. 1 villain is generators.''
S. David Freeman, Davis' chief energy adviser, reiterated that point during a meeting Wednesday with the Mercury News editorial board. He defended the state's attacks on energy companies and credited the relentless pressure for forcing federal regulators recently to consider ordering significant refunds from the firms.
``We did some things right, and one of them was calling attention to the fact that we were being robbed,'' Freeman said.

Consumers were given the least amount of blame for the state's energy problems in the Public Policy Institute survey.
More than four out of five -- 81 percent -- said they were closely watching news reports about the energy crisis, and 56 percent said the biggest single issue facing California was the price and availability of electricity. That was the first time in the survey's three-year history that a majority of respondents had named the same issue as the most important problem.
Most of those questioned also said they were trying hard to conserve. ``Six in 10 residents say they have done `a lot'' to reduce their use of electricity and appliances at home during peak hours,'' the survey found.
Belief in the importance of conservation was equally strong among Democrats and Republicans. But the survey found significant differences among ethnic and income groups.
``Public support for conservation is strongest among younger, less educated and lower-income residents,'' it concluded. Moreover, by a ratio of 25 percent to 16 percent, it said, ``Latinos are more likely than non-Hispanic whites to favor conservation as the solution to today's electricity problems.''

Mercury News Staff Writer John Wolfolk contributed to this report.

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Consumers to bear costs of state's power purchases
Posted at 10:30 p.m. PDT Wednesday, July 18, 2001
BY MICHAEL BAZELEY

Mercury News

State energy regulators have reluctantly signed away one of their most fundamental consumer protection roles: the right to question and reject requests for higher power rates.
Under a proposed rate agreement with the state Department of Water Resources released Wednesday, the Public Utilities Commission promises to pass all the state's power-buying costs directly to consumers.
Unlike its relationship with utilities such as Pacific Gas & Electric, the utilities commission will not be able to audit the department's books or question its expenses. And it will have just 90 days to raise rates if the state concludes it needs more money.
``Previously, we had discretion to raise rates or not raise rates,'' said Commissioner Jeff Brown. ``Here, we're in a situation where it's a bill -- pay it.''
The rate agreement, which the commission is expected to approve next month, marks a sea change for the agency.
The commission has acted as a check against exorbitant energy rates by reviewing utility costs and setting rates it deemed reasonable.
But now the state has stepped into the power-buying business, purchasing a third or more of the energy used statewide. The state wants to finance its costs with $13.4 billion in bonds but says it needs to guarantee investors that consumers will repay them.
The agreement comes as no surprise. A state law passed in January says the

commission must set rates to cover the water resources agency's bills.
Nonetheless, some consumer groups are fuming.
``It is effectively a blank check for the state,'' said Doug Heller, of the Foundation for Taxpayer and Consumer Rights. ``Any costs the state incurs -- whether it be consultants for Gray Davis or trips to Texas -- anything they pass on is considered just and reasonable. That's deregulation on crack.''
Under the 17-page agreement, the Department of Water Resources will periodically send a ``revenue requirement'' to state utilities regulators.
The regulators will use the document to set rates within the 90-day time frame.
If the department starts to run short of cash -- because of dramatic spikes in the price of power, for instance -- the commission could be forced to adjust rates within 30 days.
The commission would have minimal discretion to challenge the state's revenue requests, according to the agreement, beyond pointing out ``arithmetic error'' or costs not related to paying off the bonds or buying power.
State officials said they cannot sell the bonds if investors believe the commission might reject any of the state's power-buying costs.
At the same time, they said, officials are scrutinizing every contract they negotiate with power generators to make sure consumers are getting the best deal.
``Every contract is critiqued within our department,'' said Oscar Hidalgo, spokesman for the water resources department. ``And a lot of the administrative costs are handled the same way.''
Under the new arrangement, utilities would still have to justify their costs when asking for a rate increase, but the state would not.
Whether rates will need to go up again soon is not clear. The commission has already voted in two big rate increases this year, one in January and another in March. The state is expected to give the commission its latest revenue requirement Friday. State officials say that, with falling power prices, they do not see a need for higher rates.

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Conservation is cutting edge of power crisis
July 19, 2001
By Jonathan Lansner
The Orange County Register
The Edison bill has arrived. It was almost as exciting a mailbox event as the seemingly regular arrival of a sweepstakes envelope.
Best of all, the bill said, "You won!" Well, it really didn't say that. But it might as well have.
The family's electric bill did note that we sliced our electricity use by a third from a year ago. Whoopee!
Because we conserved so well, we got a 16-buck rebate. Now, for full disclosure, we sort of cheated. Thanks to a remodeling job in progress, we have no air conditioner to abuse. But we weren't the only ones cashing in on conservation, so to speak.
According to Edison, 31percent of its residential customers in June took the

conservation bait: Cut electricity usage by 20 percent, get a state-funded 20 percent rebate.
For the month, 287,224 families in these parts got $2.5 million in rebates - or nearly nine bucks a household. That's state taxpayer money at work.
Now that sum's no grand windfall. Nor does it fully negate the year's rate hikes. But it generates spendable cash. And it's an important conservation message.
Those 287,224 families earning a June rebate saved what seems at first glance to be a smidgen of the state's monthly energy usage. You know, $2.5million looks like pocket change when headlines talk of billion-dollar deals and/or overcharges.
However, consider this math: That $2.5million would buy roughly 24,000 megawatts of electricity, using Edison's average cost of power this year.
Believe it or not, 24,000 megawatts is more than a half-day of typical statewide use. Not bad conservation by customers of just one of three major utilities in the state.
Then roughly double that figure because the state handed out nearly $3million in June rebates to commercial users for their savings.
You know, this conservation thing is more than a sound bite. One reason the lights have stayed on this summer in California to date is that demand is down by as much as 12 percent.
Sure, the weather's unseasonably pleasant, keeping many air conditioners off.
And a painful technology slump shuttered some energy-guzzling factories.
Nevertheless, the populace also is well aware of the higher energy costs.
Average Joes and Janes appear very willing to play the money-saving game.
Compact fluorescent light bulbs, ceiling or attic fans, and double-pane glass aren't just home-improvement hype.
Forget politics. Forget finger-pointing. Please remember basic economics.
Price motivates consumers to action. Discounts typically lure crowds.
Surcharges usually scare off buyers.
The fact that nearly one-third of Edison's residential customers slashed energy use in the face of nearly 40 percent rate hikes and a 20 percent rebate carrot clearly proves that point.
Whine all you want about what caused the energy mess. Blame the incompetent Sacramento crowd. Blame the bungling utilities. Blame the shady out-of town generators. Heck, blame L.A.'s stealthy Department of Water and Power.
Nevertheless, when you talk solutions, conservation is the most logical choice.

National Desk; Section A
California's New Problem: Sudden Surplus of Energy
By JAMES STERNGOLD

07/19/2001
The New York Times
Page 1, Column 1

LOS ANGELES, July 18 -- After months of warnings about power shortages and forced blackouts, an unusually cool July and surprisingly effective conservation efforts have put California in a stunning position: it has so much electricity on its hands that it is selling its surplus into a glutted market.

In fact, state officials said today, after spending much of the winter and spring scrambling to line up new supplies of electricity at a cost of tens of billions of dollars, the agency that is in charge of buying power has actually been selling some back at a loss this week.

Oscar Hidalgo, the spokesman for the Department of Water Resources, which became the state's main buyer of power after soaring wholesale prices pushed private utilities toward bankruptcy this year, would not provide exact figures on how much the state was selling or how much money it was losing.

But the department has said it was paying on average $133 per megawatt-hour this month, much of which it is obliged to buy whether it needs it or not, under long-term contracts signed in recent months. By contrast, officials say, the department at times has sold some of that power back into the market at prices as low as $15 per megawatt-hour.

Mr. Hidalgo insisted that the surplus power could quickly vanish if temperatures soar as expected in August.

Some consumer groups, which have bitterly criticized the state's energy policies in the crisis, seized on the sales as evidence of what they said was a poorly thought-out plan that had left the state at the mercy of a merciless market.

''This state agency has no expertise in trading,'' said Harvey Rosenfield, an official at the Foundation for Taxpayer and Consumer Rights. ''It is amateurish at best and sometimes incompetent, negotiating with a bunch of M.B.A.'s whose goal is to soak California. The state was panicked into leaping into this business, and it is being outwitted.''

But a spokesman for Gov. Gray Davis defended the state's purchases, saying its response to an emergency has produced greater reliability and, in the long term, a greater supply of power.

''Like we said all along, we're doing everything within our power to control the situation and stabilize things,'' said Steve Maviglio, the governor's spokesman. ''But the weather is not within our control. When the utilities were in this business, they ran into this situation routinely.''

On Monday, for example, the high temperature in San Diego was 70 degrees, compared with an average of 77 degrees. In San Francisco, the high was 66, compared with an average of 72, and in Fresno it was 87, down from the average of 99. That meant that air-conditioners across the state were turned down.

But officials said that the weather was not the only factor in relieving the sense of crisis in California and that the state's conservation program had produced a significant reduction in demand.

The state energy commission has said that total demand was down 12 percent this June from June 2000, adjusted for the weather and economic growth.

The conservation program provides rebates for buying certain energy-efficient appliances and special discounts for large consumers that reduce their power needs sharply from previous years.

In addition, state and federal office buildings have instituted conservation measures, including turning off lights and computers at night and adjusting thermostats.

Also, big rate increases, of as much as 40 percent in certain instances,

kicked in this June, encouraging consumers to cut electricity use further.
Some experts have warned that while a sense of crisis has helped produce the big reductions in demand, as soon as people feel that the emergency has passed at least some will return to their old ways and demand may rise again.
According to the California Independent System Operator, which manages the power system, peak demand today was expected to be 32,651 megawatts, and the available supply was slightly above 40,000 megawatts.
In January, the state suffered several power emergencies in which it was forced to pay more than $1,000 a megawatt at times of critical shortages.
But even with those purchases, utilities were forced to cut power in some places when the demand exceeded the supply. The last time the state had to resort to blackouts was on May 8.
After the emergencies in the winter, the state frantically lined up power purchases on contracts ranging from a few months to 10 years and more.
The state tried to put together a diverse portfolio of contracts that would ease the shortages but not lock the government into paying too much if prices declined in the future. Energy experts expected some declines in prices but not this quickly.
The Department of Water Resources paid an average of $243 per megawatt in May, but the price has now dropped to $133 per megawatt on average this month, some of that in the form of spot purchases and some under the long-term contracts. Mr. Hidalgo said the department's sales of power back to the market had been at $15 to $30 per megawatt.
Some energy traders said the state was just paying the price any market participant must accept.
''They're not doing anything imprudent,'' said Patrick Dorinson, a spokesman for the Mirant Corporation, a large power generator and trader. ''They're just finding out how the markets work. Everything is built on forecasting, and sometimes the forecasts are wrong.''
Mr. Maviglio, the governor's spokesman, said the state's planning was built on forecasts of a harsher summer and less conservation. ''The forecasts have turned out to be far more conservative than the reality,'' he said.
Mr. Rosenfield countered: ''We've been outwitted. They goofed, and it looks like taxpayer money is being thrown down the toilet.''
In May, the amount of power the state needed to buy on the so-called spot market, which means purchases in which the electricity would be supplied immediately, accounted for close to 45 percent of the total purchases.
Typically, longer-term contracts are at fixed prices, while spot purchases can be enormously volatile.
But because of the reduced demand in July, spot purchases have made up just 5 percent or so of the Department of Water Resource's total purchases, and at the times of lowest demand, like this week, officials have decided to get what they can by reselling excess power.
''This is a normal business practice,'' Mr. Hidalgo said. ''We can buy power and we can sell power. I don't think anyone would have predicted that we would have found ourselves in this position in July. But we're not out of the woods. August could be raging hot.''

Photo: Cecelia Paez sorted customer bills yesterday at Southern California Edison's office in Rosemead, Calif. After months of blackouts, the power situation took an unexpected turn this month, leaving the state with a surplus. (Associated Press)(pg. A20)